Subject: PACCAR Inc. Renewal- $10M xs $150M ABC
Date: Thursday, October 23, 2025 at 1:14:53 PM Central Daylight Time
From: Mongiello, Michelle
To: Haran, Richard
Attachments: image014.png, image015.png, image001.png, image002.png, image003.png, image004.png, image005.png, image006.png, image008.png, image009.png, image007.png, image010.png, image011.png, image012.png

Hi Rick,

I am working with Marlene Jabbour over at AJG CA on this renewal that comes up on 12/1. We got on this one new back in 2023. I gave her a call yesterday to discuss how the renewal is shaping up so far and she said all carriers up to AWAC have agreed to go flat and it is likely the expectation for the remainder of the tower to follow. I told her that our expiring layer is below minimums and we would not be able to give anything back here, but that does not look like the case anyways. I also reached out to her on Markel's expiring $10M xs $110M layer which she needs to find a replacement for. She said that she gave the first look to Markel BDA to see if they want it since they've been looking at Markel US layers to see if they wanted to remain on those US layers. Marlene told me that Markel BDA does not want to participate here so the layer is up for grabs. She did reach out to one carrier, but has not heard back yet. I expressed interest given the premium is above minimums and it would be a good opportunity to drop down and collect a bit more premium. However, we would be moving down $40M for an additional $12k. STM is practically the same at both attachment points, with the $10M xs $110M STM being slightly more favorable. I propose we take a shot at moving down here and come in at $55k for the $10M xs $110M layer, as long as the remaining underlying agree to flat. PACCAR is a solid company and one we can hopefully continue to move down the tower on. While PACCAR faces notable headwinds from declining truck sales, competitive pressures, and tariff uncertainties, management is proactively investing in technology, expanding its Parts and Financial Services businesses, and maintaining strong liquidity. The company is well-positioned to weather current challenges, but near-term outlook remains subdued, with recovery dependent on economic conditions, trade policy stability, and successful execution of strategic investments. The tone is realistic, acknowledging risks but emphasizing resilience and long-term growth initiatives. However, the current macro environment is something to monitor here given their exposure. Please let me know your thoughts. If the Markel layer does not work out, I am seeking authority for flat as long as the remaining underlying agree.

Here is the tower for reference:

Expiring

Layer	Carrier(s)	Part Of Limit	Attachment (or SIR)	Premium	RPM (rate per mil)	Rate on Line	Rate of Underlying	Rate of Primary
1	Chubb	$ 15	$ 5	$ 400,349	$ 26,690	2.7%		
2	Zurich	$ 15	$ 15	$ 275,284	$ 18,352	1.8%	68.76%	68.76%
3	Arch	$ 15	$ 30	$ 198,450	$ 13,230	1.3%	72.09%	49.57%
4	AWAC	$ 15	$ 45	$ 142,884	$ 9,526	1.0%	72.00%	35.69%
5	Allianz	$ 15	$ 60	$ 110,000	$ 7,333	0.7%	76.99%	27.48%
6	Nationwide	$ 15	$ 75	$ 95,000	$ 6,333	0.6%	86.36%	23.73%
7	SwissRe	$ 10	$ 90	$ 58,000	$ 5,800	0.6%	91.58%	21.73%
8	Mitsui	$ 10	$ 100	$ 56,317	$ 5,632	0.6%	97.10%	21.10%
9	Markel	$ 10	$ 110	$ 55,000	$ 5,500	0.6%	97.66%	20.61%
10	Travelers	$ 10	$ 120	$ 51,310	$ 5,131	0.5%	93.29%	19.22%
11	Sompo	$ 10	$ 130	$ 48,000	$ 4,800	0.5%	93.55%	17.98%
12	Everest	$ 10	$ 140	$ 45,000	$ 4,500	0.5%	93.75%	16.86%
13	Liberty	$ 10	$ 150	$ 43,000	$ 4,300	0.4%	95.56%	16.11%

Layer	Carrier(s)	Part Of Limit	Attachment (or SIR)	Premi
1	Chubb	$ 15	$ 5	$
2	Zurich	$ 15	$ 15	$
3	Arch	$ 15	$ 30	$
4	AWAC	$ 15	$ 45	$
5	Allianz	$ 15	$ 60	
6	Nationwide	$ 15	$ 75	
7	SwissRe	$ 10	$ 90	
8	Mitsui	$ 10	$ 100	
9	Liberty?	$ 10	$ 110	
10	Travelers	$ 10	$ 120	
11	Sompo	$ 10	$ 130	
12	Everest	$ 10	$ 140	
13	Liberty	$ 10	$ 150	

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Rating Considerations		
Commision	0.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	5,000,000	

		Layer Information						US SCA Frequency				US SCA Severity (M)			US SCA Loss Cost	
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	Excess Exp Freq	Ground-up Severity	Defense Costs	Exp Loss in Layer	Freq x Exp Loss in Layer	PLR
USD 10m xs 150m	5,000,000	150,000,000	10,000,000	100%	ABC	43,000		4.5%	55.0%	28.8%	**0.71%**	161.8	24.3	**9.7**	68,954	59%
USD 10m xs 110m	5,000,000	110,000,000	10,000,000	100%	ABC	55,000		4.5%	55.0%	36.6%	**0.90%**	161.8	24.3	**9.7**	87,172	59%
Custom layer	5,000,000															
Custom layer	5,000,000															
Custom layer	5,000,000															

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

ART Tool:

Account Name Search Results for **PACCAR INC (XIST-3134953)** as of **9/30/2025**

Account Group	Location, City, State	Account	Distribution Segment	Distribution Department	Product	Month, Day, Year of Exp Date	Policy Number	Underwriter
Grand Total								
PACCAR FINANCIAL CORP. (XIST-3134953)	AON BERMUDA LTD, PEMBROKE, ?	PACCAR INC. (PACC0019) MEDINA, WA	Specialty	Bermuda Casualty	Bermuda Agency > Excess Casualty (IS GLXS)	June 20, 2026	LSMAEC104774A06	THORNE, BARBARA-A..
<Nondepository Credit Institutions, Short-Term Business Credit Institutions, ex. Agricultural>	AON RISK CONSULTANTS INC, SAN FRANCISCO, CA	PACCAR INC (SUR-195337821) BELLEVUE, WA	Surety	Commercial	Surety > Surety (SURETY)	Null	Null	THOMPSON, STEPHANIE
	ARTHUR J. GALLAGHER RISK MANAGEMENT SERVI..	PACCAR INC. (PACC0002) BELLEVUE, WA	Specialty	D&O	Management Liability > D&O - Public (IS D&O)	December 1, 2025	DO7LACX3GH002	BROWN, CONNOR

Russia/Ukraine exposure: N/A- I could not find anything in their recent filings.

Overview

PACCAR Inc designs, manufactures, and distributes light, medium, and heavy-duty commercial trucks in the United States, Canada, Europe, Mexico, South America, Australia, and internationally. It operates through three segments: Truck, Parts, and Financial Services. The Truck segment designs, manufactures, and distributes trucks for the over-the-road and off-highway hauling of commercial and consumer goods. It sells its trucks through a network of independent dealers under the Kenworth, Peterbilt, and DAF nameplates. The Parts segment distributes aftermarket parts for trucks and related commercial vehicles. The Financial Services segment conducts full-service leasing operations under the PacLease trade name, as well as provides finance and leasing products and services to customers and dealers. This segment offers equipment financing and administrative support services for its franchisees; retail loan and leasing services for small, medium, and large commercial trucking companies, as well as independent owners/operators and other businesses; and truck inventory financing services to independent dealers. In addition, this segment offers loans and

leases directly to customers for the acquisition of trucks and related equipment. The company manufactures and markets industrial winches under the Braden, Carco, and Gearmatic nameplates. PACCAR Inc was founded in 1905 and is headquartered in Bellevue, Washington.

Positive Aspects

- **Parts and Financial Services Growth:** Despite overall revenue declines, PACCAR's Parts segment saw increased sales in the U.S. and Canada, and Financial Services revenues grew due to higher interest income from portfolio growth and higher yields.
- **Strong Liquidity and Capital Position:** The company maintains robust liquidity with $8.46 billion in cash and marketable securities and access to significant unused credit lines. Investment-grade credit ratings (A+/A1) support continued access to capital markets.
- **Continued Investment in Innovation:** PACCAR is investing heavily in next-generation technologies, including clean diesel, alternative powertrains, connected vehicle services, advanced driver assistance systems, and a battery joint venture (Amplify Cell Technologies).
- **Stable Credit Performance:** Past due accounts remain low (1.2% worldwide), and the company's credit modification processes are effective in managing risk.
- **Improved Used Truck Market:** Losses on used trucks have decreased, reflecting better market conditions.

Challenges

- **Significant Decline in Truck Sales and Deliveries:** Truck segment revenues and deliveries dropped sharply across all major markets, with truck gross margins falling from 15% to 8.7% (Q2 YoY).
- **Lower Net Income and Returns:** Net income and diluted EPS declined substantially (Q2 net income down 36%, six-month net income down 47%), with after-tax return on revenues dropping from 13.2% to 8.2%.
- **Tariff and Trade Uncertainty:** U.S. import tariffs and retaliatory actions by other countries have increased costs and created uncertainty, negatively impacting truck order intake and profit margins.
- **Competitive Pricing Pressure:** Lower price realization due to increased competition in all markets, partially offset by tariff-related price increases.
- **Higher Credit Loss Provisions:** Provision for losses on receivables increased significantly, especially in North America and Brazil, reflecting portfolio growth and higher past due accounts in some regions.
- **Civil Litigation Impact:** A $350 million charge related to European Commission litigation materially affected results.
- **Declining Market Shares:** Heavy-duty and medium-duty truck market shares in the U.S. and Canada declined, as did market share in Brazil.

Strategic Considerations

- **Diversification and Segment Focus:** With truck sales under pressure, PACCAR's growing Parts and Financial Services segments are increasingly important for stability and future growth.
- **Investment Priorities:** Continued capital and R&D investments ($750–$800 million and $450–$480 million expected for 2025) are focused on advanced technologies and manufacturing capabilities to maintain competitiveness.
- **Battery Joint Venture:** Significant planned investment ($600–$900 million) in Amplify Cell Technologies positions PACCAR for future electrification trends.
- **Risk Management:** Ongoing focus on credit quality, liquidity, and flexible funding sources to mitigate risks from economic downturns, tariff changes, and market volatility.
- **Global Expansion:** Financial Services operations span 26 countries, supporting market share growth and portfolio diversification.
- **Regulatory and Legislative Adaptation:** The enactment of the One Big Beautiful Bill Act (OBBBA) in the U.S. will impact tax payments and R&D expensing, requiring ongoing monitoring.

Tariff Commentary

Recent commentary on PACCAR highlights a generally optimistic outlook for the company following the implementation of new tariffs on trucks, while also addressing the associated challenges and varied market responses.

Positive Outlook

- Sales Boost Predictions: Paccar executives expressed optimism that the recently announced U.S. tariffs on new trucks and truck parts will enhance their sales. They believe the clear tariff guidelines will provide more certainty within the marketplace
- Leveling the Competitive Field: The tariffs initiated by President Trump, which impose a 25% duty on imported heavy trucks, are seen as potentially beneficial for PACCAR by leveling the competitive landscape. This is significant because competitors that manufacture trucks at lower costs in Mexico may face increased challenges due to the new tariffs
- Analyst Revisions: Analysts have responded positively to the changes, raising PACCAR's price target from $103.50 to $107.00. They cite improved structural advantages derived from these tariff changes and an overall more optimistic perspective on revenue growth, despite persistent concerns regarding margins

Challenges Ahead

- Impact on Profit Margins: While tariffs may boost sales volumes, PACCAR is also facing pressures on profit margins. The company reported a gross margin decrease to 12.5% in Q3 2025, attributed in part to cost increases from tariffs on steel and aluminum
- Ongoing Risks: The market outlook remains mixed, with factors contributing to both optimism and caution regarding future performance. Paccar is navigating through these uncertainties while working to maintain its market position in North America
- Investment Narrative Shift: The new tariffs are reshaping PACCAR's investment narrative and demand outlook, influencing both manufacturer strategy and market expectations

As PACCAR progresses in this evolving tariff landscape, the interplay of sales opportunities and cost pressures will be crucial for its strategic decisions and market performance. Investors and industry watchers will likely continue to monitor these developments closely.

Recent Tariff Impact and Section 232 Implementation

- PACCAR's gross margins were affected by "the August steel and aluminum tariff increases and the tariff costs on trucks that were built in the United States"
- Tariffs peaked in October, impacting fourth quarter margins, which are expected to be around 12%
- The new Section 232 on medium and heavy trucks, effective November 1, is expected to reduce tariff costs and bring clarity to the market, benefiting both PACCAR

and its customers

Section 232 Details and Timeline

- Section 232 will take some time to fully implement, as parts and components must qualify for rebates. The process will become "gradually more and more effective throughout the quarter," with stability expected by the start of next year
- The rebate associated with Section 232 will apply as components qualify. For example, "parts coming out of Mexico...deemed acceptable to be part of 232" will realize reduced tariff cost
- The effective date is November 1, but full benefit may not be realized until early next year
- Quantification of the net impact remains to be seen, but PACCAR anticipates positive momentum for dealers, customers, suppliers, and itself

Financial Impact and Customer Pricing

- In Q3, PACCAR faced a "$75 million headwind" due to tariffs, with the headwind anticipated to increase in Q4 before declining thanks to Section 232
- The reduction in tariff costs is the "single biggest impact" on gross margin, moving from 12.5% in Q3 to about 12% in Q4, mostly due to tariffs peaking
- Tariff surcharges have been around "$3,500 to $4,000 per truck in Class 8," but as Section 232 rebates ramp up, PACCAR intends to "move away from that kind of discussion and just get into truck pricing again since there's clarity and stability"
- As costs decline due to reduced tariffs, benefits may be realized by both PACCAR and its customers, potentially supporting market share growth

Competitive Position

- PACCAR produces over 90% of its U.S.-sold trucks in the U.S., which provides a competitive advantage as Section 232 implementation "should improve our competitive position as we look forward into next year"
- The tariff changes are expected to "help PACCAR significantly," although specific competitor cost structures are unknown

Q3 guidance was more specific about Section 232's effects, with management projecting Q4 margins around 12% and highlighting tariff relief as a key driver for improvement in early 2026, compared to Q2's more uncertain margin outlook. Q3 featured a more optimistic discussion on market share gains and capitalizing on U.S.-centric manufacturing, while Q2 focused more on navigating uncertainty and cost pressures. Analysts in both quarters sought clarity on regulatory and tariff impacts, but the current quarter saw greater focus on competitive advantages and future demand catalysts. Management's confidence grew, citing investments in capacity and innovation and a clearer regulatory path.

Management cited tariff costs, with Feight stating, "Margins were affected by the August steel and aluminum tariff increases and the tariff costs on trucks that were built in the United States." Gross margin guidance for Q4 is lower due to tariffs peaking, but Section 232 is expected to bring relief. Regulatory uncertainty around emissions standards and freight market recovery remain areas of concern. Analysts raised questions about demand visibility for 2026, inventory levels, and the pace of prebuying related to new regulations. PACCAR management emphasized that Section 232 tariff relief and robust U.S. manufacturing capacity position the company for margin recovery and potential market share gains in 2026. With strong performance in Parts and Financial Services, ongoing investments in technology and distribution, and clarity around regulatory and tariff environments, PACCAR remains focused on delivering value to customers and shareholders as market dynamics improve.

- Preston Feight, CEO, opened by highlighting "good third quarter financial results and business highlights" and thanked employees for their efforts in dynamic market conditions. He reported, "PACCAR achieved revenues of $6.7 billion and net income of $590 million." Feight emphasized the performance of Peterbilt, Kenworth, DAF Trucks, PACCAR Parts, and PACCAR Financial Services, noting "PACCAR Parts achieved record quarterly revenues of $1.72 billion and excellent quarterly pretax income of $410 million" with 4% parts revenue growth. PACCAR delivered 31,900 trucks in the quarter and expects about 32,000 deliveries in Q4. He cited strong customer demand in less-than-truckload and vocational segments but ongoing uncertainty in the truckload market.
- Feight stated, "PACCAR's Truck, Parts and Other gross margins were 12.5% in the third quarter," and pointed out tariff impacts, saying, "Margins were affected by the August steel and aluminum tariff increases and the tariff costs on trucks that were built in the United States."
- Brice Poplawski, CFO, stated, "PACCAR Financial Services pretax income was a robust $126 million, 18% growth over the $107 million reported a year earlier." He provided capital expenditure projections: "This year's capital expenditures are projected to be between $750 million and $775 million, and research and development expenses will be $450 million to $465 million."
- Kevin Baney, Executive Vice President, noted, "PACCAR Parts achieved gross margins of 29.5% and record third quarter revenue of $1.72 billion," and announced a new parts distribution center in Calgary and an engine remanufacturing center in Columbus, Mississippi, both opening next year.

Stock Performance

Current Price: $98.59
Market Cap: $52.41B
Beta: 0.82
P/E Ratio: 19.29
% of float shorted: 2.17%

- 1 Year:

- 2 Years:

- 5 Years:

Over the past 1 year, PACCAR stock is down ~6%, but is up 3% during the last month. Here are the notable stock drop during the past 12 months:

- 03/10/2025-03/17/2025: The stock price dropped by 11%. The stock price drop was likely caused by the disclosure of a shareholder proposal requesting a vote on excessive golden parachutes for senior executives, which highlights concerns about potentially large severance or termination payments (page 46). Additionally, the Board's recommendation to vote against this proposal (page 51) may have signaled to investors that management is not addressing shareholder concerns about executive compensation, contributing to negative sentiment. The benchmark index Vanguard World Fund - Vanguard Industrials ETF (VIS) didn't drop in this period. This stock price drop was not tied to the benchmark index.
- 04/02/2025-04/09/2025: The stock price dropped by 13%. The stock price drop was likely caused by the announcement that Harrie C. A. M. Schippers, President and Chief Financial Officer, will retire from PACCAR after 39 years of service, effective June 2, 2025. Leadership transitions, especially involving key financial officers, often raise concerns about continuity and future company performance among investors. The benchmark index Vanguard World Fund - Vanguard Industrials ETF (VIS) dropped by 13%. This stock price drop was tied to the benchmark index.

Paccar's third-quarter earnings and revenue fell as demand for 18-wheeled freight trucks remained muted. The maker of heavy trucks under brands such as Peterbilt, Kenworth and DAF on Tuesday posted earnings of $590 million, or $1.12 a share, down from $972.1 million, or $1.85 a share, a year earlier. On average, analysts surveyed by FactSet had anticipated earnings of $1.15 a share. Revenue fell to $6.67 billion from $8.24 billion a year earlier, but still topped the mean analyst estimate of $6.18 billion, as per FactSet. Financial-services revenue ticked up to $565.3 million, ahead of the Wall Street peg of $510 million. The heavy-duty truck market has slumped in recent months as trade tensions and economic uncertainty have slowed freight movement following a postpandemic boom, leading to a buildup of truck inventories on dealers' lots.

"The new Section 232 truck tariffs that are scheduled to begin in November should bring clarity to the market in the coming months," said Chief Executive Preston Feight, in a statement, noting that the vast majority of Paccar vehicles are made in the U.S. Paccar forecast U.S. and Canada Class 8 2025 industry retail sales in a range between 230,000 and 245,000 vehicles. For 2026, the company forecast Class 8 sales in a range between 230,000 and 270,000 vehicles for the same region. Paccar anticipates European truck industry registrations in the above-16-ton segment market at between 275,000 and 295,000 vehicles this year, and anticipates 270,000 to 300,000 registrations in 2026. PACCAR said South American above-16-ton truck sales would likely amount to 95,000-105,000 units this year, and be more or less in line with that in 2026.

A majority of analysts have the stock rated as a Hold. During the Q3 earnings call, analysts pressed management on tariffs, market share prospects, pricing, and inventory, with a focus on how Section 232 impacts competitive positioning and profitability. The tone was probing but constructive, with particular interest in margin recovery and demand catalysts. Management maintained a slightly positive tone, expressing confidence in tariff relief, margin improvement, and demand recovery. Feight frequently emphasized stability, opportunity, and strategic positioning, using phrases such as "we feel very good," "should help our competitive position," and "all feels very good." Compared to the previous quarter, management's tone was more confident regarding regulatory clarity and the positive impact of Section 232, while analysts maintained a consistent level of scrutiny.

PACCAR Dividend Summary

DIVIDEND YIELD	ANNUAL DIVIDEND	NEXT DIVIDEND PAYMENT
1.34%	$1.32	DEC. 3

DIVIDEND INCREASE TRACK RECORD	DIVIDEND PAYOUT RATIO
5 Years	25.83%

During the first six months of 2025, the Company purchased 382,552 treasury shares, of which 176,960 shares were acquired under the Company's Long-Term Incentive Plan and 205,592 of shares were repurchased pursuant to the Company's common stock repurchase plan. Stock repurchases of $371.6 remain authorized under the current $500.0 program approved by the PACCAR Board of Directors on December 4, 2018.

Financial Performance

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	12/31/2023	12/31/2024		9/30/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$8,659	$9,650	11%	$9,069
Current Assets	$32,389	$34,822	8%	$13,456
Total Assets	$40,823	$43,419	6%	$44,201
Current Liabilities	$14,062	$17,078	21%	$7,384
Long Term Debt	$0	$0		$0
Working Capital	$18,327	$17,743	-3%	$6,072
Income Statement				
Revenues	$35,127	$33,664	-4%	$6,672
Operating Income	$6,043	$4,993	-17%	$636
Net Income	$4,601	$4,162	-10%	$590
Gross Margins (%)	$20	$18	-11%	$13
Cash Flow Statement				
Operating Cash Flow	$4,190	$4,641	11%	$1,528

Q3 2025 Financial Results

Summary of Results

- PACCAR Inc. reported consolidated net sales and revenues of $6.67 billion for the third quarter of 2025, and $21.62 billion for the first nine months of 2025, reflecting a decrease from the prior year periods ($8.24 billion and $25.76 billion respectively)
- Net income for the third quarter was $590.0 million ($1.12 per diluted share), down from $972.1 million ($1.85 per diluted share) in Q3 2024
- For the nine months ended September 30, 2025, net income was $1.82 billion ($3.45 per diluted share), which included a $264.5 million after-tax non-recurring charge related to civil litigation in Europe
- Adjusted net income (non-GAAP) for the nine months was $2.08 billion ($3.95 per diluted share)

Segment Performance

- PACCAR Parts achieved record revenues of $1.72 billion and pretax profit of $410.0 million in Q3 2025, up from $1.66 billion and $406.7 million a year earlier
- PACCAR Parts' nine-month revenues were $5.14 billion, with pretax profit of $1.25 billion
- PACCAR Financial Services (PFS) earned pretax income of $126.2 million and revenues of $565.3 million in Q3 2025, compared to $106.5 million and $536.1 million in Q3 2024
- For the first nine months, PFS pretax income reached $370.5 million with revenues of $1.64 billion

Key Financial Metrics & Ratios

- Gross Margin (Q3 2025):
  - Net sales and revenues: $6,106.5 million
  - Cost of sales and revenues: $5,345.4 million
  - Gross margin: $761.1 million
  - Gross margin percentage: 12.5%
- Net Margin (Q3 2025):
  - Net income: $590.0 million
  - Revenues: $6,671.8 million

    - Net margin: 8.8%
- Net Margin (Nine Months 2025):
    - Net income: $1,818.9 million
    - Revenues: $21,624.0 million
    - Net margin: 8.4%
- Adjusted Net Margin (Nine Months 2025):
    - Adjusted net income: $2,083.4 million
    - Revenues: $21,624.0 million
    - Adjusted net margin: 9.6%

Balance Sheet Highlights (September 30, 2025 vs. December 31, 2024)

Metric	Sep 30, 2025	Dec 31, 2024
Cash & Marketable Securities	$9,068.6 M	$9,649.9 M
Inventories, net	$2,296.9 M	$2,367.1 M
Property, Plant & Equip., net	$4,442.4 M	$3,985.6 M
Financial Services Assets	$23,020.5 M	$22,411.5 M
Total Assets	$44,201.2 M	$43,418.9 M
Accounts Payable, etc.	$7,383.9 M	$8,333.2 M
Financial Services Liabilities	$17,448.7 M	$17,578.8 M
Stockholders' Equity	$19,368.6 M	$17,506.9 M

Cash Flow Highlights (Nine Months Ended September 30, 2025)

- Net cash provided by operating activities: $3,271.5 million
- Net cash used in investing activities: $(1,513.4) million
- Net cash used in financing activities: $(2,687.8) million
- Cash and cash equivalents at period end: $6,303.9 million

Other Notable Information

- PACCAR delivered 31,900 trucks globally in Q3 2025, down from 44,900 in Q3 2024
- PACCAR Parts operates 20 global distribution centers with over 3.9 million square feet and will open a new 180,000 sq. ft. PDC in Calgary, Canada
- PACCAR Financial Services portfolio totals 229,000 trucks and trailers with $23.02 billion in assets
- PACCAR invested $156.0 million in capital projects and $111.0 million in R&D in Q3 2025, with full-year 2025 projections of $750-$775 million in capex and $450-$465 million in R&D
- The company maintains strong credit ratings (A+/A1) and excellent access to commercial paper and medium-term note markets

Non-GAAP Adjustments

- Adjusted net income excludes a $264.5 million after-tax charge for EC-related claims, allowing for better analysis of underlying performance

PACCAR Inc. experienced a decline in both revenues and net income compared to the prior year periods, affected by lower truck deliveries and a significant non-recurring litigation charge. Nevertheless, the company maintained strong performance in its PACCAR Parts and Financial Services segments, delivered resilient margins, and continued substantial investments in capital projects and R&D. The balance sheet remains robust, with high cash balances and increased stockholders' equity.

Balance Sheet Liquidity Highlights

- Cash and marketable securities totaled $9,068.6 million at September 30, 2025, compared to $9,649.9 million at December 31, 2024, reflecting a robust liquidity buffer
- Cash and cash equivalents specifically stood at $6,303.9 million at period end, down from $6,849.2 million at the end of the same period last year
- Trade and other receivables, which are also part of short-term liquid assets, were $2,090.0 million at September 30, 2025

Operating Cash Flow

- Net cash provided by operating activities for the nine months ended September 30, 2025, was $3,271.5 million, indicating strong internal cash generation
- PACCAR reported cash generated from operations in Q3 2025 of $1.53 billion

Liquidity Ratios (calculated based on available data):

- Current assets (sum of cash, marketable securities, receivables, inventories) at September 30, 2025:
    - Cash & marketable securities: $9,068.6 million
    - Trade & other receivables: $2,090.0 million
    - Inventories: $2,296.9 million
    - Total: $13,455.5 million
- Accounts payable, deferred revenues and other (current liabilities proxy): $7,383.9 million
- Current ratio (approximate):

- $13,455.5 million / $7,383.9 million ≈ 1.82

Other Liquidity Factors

- PACCAR maintains strong credit ratings (A+/A1), supporting excellent access to commercial paper and medium-term note markets
- The company issued $2.37 billion of medium-term notes during the first nine months of 2025, further enhancing liquidity resources

Summary Table: PACCAR Liquidity Metrics (September 30, 2025)

Metric	Amount (in millions)
Cash & Marketable Securities	$9,068.6
Cash & Cash Equivalents	$6,303.9
Operating Cash Flow (9 months)	$3,271.5
Current Ratio (approx.)	1.82
Credit Ratings	A+/A1
Medium-term Notes Issued (YTD)	$2,370.0
8	

PACCAR demonstrates solid liquidity with significant cash reserves, strong operating cash flow, and well-managed access to credit markets.

Outlook

- PACCAR estimates the 2025 U.S. and Canadian Class 8 market at 230,000 to 245,000 trucks and projects the 2026 market at 230,000 to 270,000. Feight explained, "Next year's U.S. and Canadian truck market could be higher than this year as we realize clarity around tariffs, emissions policy and potential improvements in the freight market."
- In Europe, PACCAR projects the above 16-tonne market for 2026 to be 270,000 to 300,000 vehicles, while South America is projected to be in the range of 95,000 to 105,000 vehicles.
- Feight signaled continued investment, with next year's capital projects estimated at $725 million to $775 million and research and development at $450 million to $500 million, focusing on alternative powertrains and advanced driver assistance systems.

Litigation

I checked our loss runs since being on risk and nothing has been reported. Nothing is listed on the SCAC website either. Per their recent 10-Q filing:

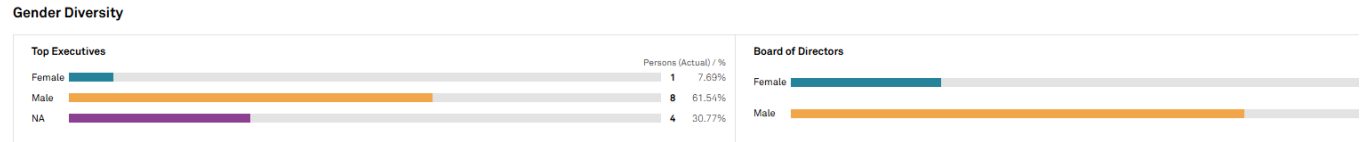
- "On July 19, 2016, the European Commission (EC) concluded its investigation of all major European truck manufacturers and reached a settlement with DAF Trucks N.V., DAF Trucks Deutschland GmbH and PACCAR Inc (collectively "the Company"). Following the settlement, certain EC-related claims and lawsuits have been filed in various jurisdictions primarily in Europe against all major European truck manufacturers including the Company and certain subsidiaries. These claims and lawsuits include individual and collective proceedings seeking monetary damages, including class actions in the United Kingdom (U.K.), the Netherlands, and Israel. In certain jurisdictions, additional claimants may bring EC-related claims and lawsuits against the Company or its subsidiaries.

  Several European courts have issued judgments; some have been favorable while others have been unfavorable and have been appealed. The Company believes it has meritorious defenses to all pending legal claims. In the first quarter 2023, the Company recorded a pre-tax charge of $600.0 ($446.4 after-tax) for the estimable total cost. The Company has settled with the majority of claimants and continues to pursue appropriate resolutions. Due to higher settlement costs, the Company updated its estimate and recorded an additional pre-tax charge of $350.0 ($264.5 after-tax) for the total estimable remaining costs in Interest and other (income) expenses, net in the first quarter of 2025.

  PACCAR is also a defendant in various other legal proceedings and, in addition, there are various other contingent liabilities arising in the normal course of business. After consultation with legal counsel, management does not anticipate that disposition of these various other proceedings and contingent liabilities will have a material effect on the consolidated financial statements."

It appears we used to be on their PTL program from 2004-2011 and no claims were reported there either (Willis handled back then).

Management Team/BOD



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Name	Title	Status	Age	Gender	Office	Phone	Email	Biography
R. Preston Feight	CEO & Director	Current	57	Male	NA	NA	r.feight@paccar.com	Mr. R. Preston Feight has been the Chief Executive Officer a PACCAR Inc. since July 1, 2019 and served as its Executive V September 2018 until June 2019. He serves as Director at D November 1, 2024. He...View All
Mark C. Pigott	Executive Chairman	Current	71	Male	Bellevue	NA	mark.pigott@paccar.com	Mr. Mark C. Pigott has been the Executive Chairman of PACC 2014 and has been its Director since 1994 and served as its Chief Executive Officer from January 1, 1997 to April 27, 201 from January 1995 to...View All
Brice J. Poplawski	Senior VP & CFO	Current	60	Male	NA	NA	NA	Mr. Brice J. Poplawski is Senior VP & CFO of PACCAR Inc fro served as its Principal Accounting Officer and Controller of Corp until June 2, 2025. Mr. Poplawski has worked at PACCA held positions...View All
John N. Rich	SVP & CTO	Current	56	Male	NA	NA	NA	Mr. John N. Rich has been Senior Vice President and Chief T at PACCAR Inc since January 2024 and was Vice President a Technology Officer since March 15, 2021 until January 2024 previously worked at Ford Motor...View All
A. Lily Ley	VP & Chief Information Officer	Current	59	Female	NA	NA	NA	Ms. A. Lily Ley has been the Chief Information Officer and Vi PACCAR Inc. since January 1, 2017. Ms. Ley served as Gener Chief Information Officer from January 2016 to December 2 General Manager - Global...View All
Michael K. Walton	VP & General Counsel	Current	60	Male	NA	NA	mike.walton@paccar.com	Mr. Michael K. Walton has been a Vice President and Genera PACCAR Inc. since August 2020. Mr. Walton served as a Seni PACCAR Inc. since August 2007 until July 2020 and served a Secretary since January 2015 until...View All
Paulo Henrique Bolgar	VP & Chief Human Resources Officer	Current	57	Not Assigned	NA	NA	NA	Paulo Henrique Bolgar is Vice President & Chief Human Res PACCAR Inc from June 2022. Paulo Henrique Bolgar served Resources Vice President of Americas and Global Business R&D for Baxter International, Inc....View All
Ken Hastings	Senior Director of Investor Relations	Current	NA	Male	NA	(425) 468-7530	ken.hastings@paccar.com	Mr. Ken Hastings serves as a Senior Director of Investor Rel Inc. and its subsidiary PACCAR Financial Corp.
C. Michael "Mike" Dozier	Executive Vice President	Current	59	Male	NA	NA	NA	Mr. C. Michael Dozier, also known as Mike, serves as Execut at PACCAR Inc. since January 01, 2023. He had been a Senic PACCAR Inc. since January 2020 until December 2022 and s President and...View All
Darrin C. Siver	Executive Vice President	Current	58	Male	NA	NA	darrin.siver@paccar.com	Mr. Darrin C. Siver serves as Executive Vice President of PAC January 01, 2023. He had been a Senior Vice President of PA January 1, 2017 until December 2022. Mr. Siver served as a PACCAR Inc. from May...View All
Average			**59**					

- On September 2, 2025, Darrin C. Siver, Executive Vice President, announced his retirement from PACCAR after 32 years of service. Mr. Siver's retirement is effective January 5, 2026. John N. Rich, Senior Vice President and Chief Technology Officer, will maintain responsibilities for PACCAR's global technology initiatives and will assume responsibilities for Peterbilt Motors Company effective January 5, 2026. Laura J. Bloch, Senior Vice President, will maintain responsibilities for Kenworth Truck Company and PACCAR Parts and will assume responsibilities for Corporate Quality and Purchasing effective January 5, 2026.
- On April 1, 2025, Harrie C. A. M. Schippers, President and Chief Financial Officer, announced his retirement from PACCAR after 39 years of service. Mr. Schippers' retirement was effective June 2, 2025. Brice J. Poplawski was promoted to Senior Vice President and Chief Financial Officer effective June 2, 2025. Mr. Poplawski has served as the Company's Vice President and Controller since June 2023. He has worked at the Company for 27 years and has held positions of increasing responsibility in various divisions of PACCAR, primarily in the Controllers organization. He is a Certified Public Accountant and a graduate of Central Michigan University (B.S. – Accounting) and the University of Washington (M.B.A).
- On December 10, 2024, Todd R. Hubbard, Vice President of Global Financial Services, announced his retirement from PACCAR after 17 years of service. Mr. Hubbard's retirement is effective February 14, 2025.

BOD:

Mark C. Pigott	Chairman of the Board	No	Current	71	Male	Bellevue	1997	2026	28y, 9m	NA	mark.pigott@paccar.com	Mr. Mark C. Pigott has been the Executi PACCAR Inc. since April 2014 and has b since 1994 and served as its Chairman Executive Officer from January 1, 1997 Vice Chairman from January 1995 to...V
Mark A. Schulz	Lead Director	Yes	Current	71	Male	NA	2020	2026	5y, 9m	NA	NA	Mr. Mark A. Schulz is President and Chi Officer of M. A. Schulz and Associates, consulting firm and a Founder & Ventur 2019. He was Independent Non-Executi NWTN Inc. since November 2022 until...
Alison J. Carnwath	Board Director/Trustee	Yes	Current	72	Female	NA	2005	2026	20y	NA	NA	Dame Alison J. Carnwath, DBE, served a Director of ASDA Group Limited since N She serves as Senior Advisor at Evercor (formerly known as Lexicon Partners Li She serves an advisory position at...Vie
Barbara B. Hulit	Board Director/Trustee	Yes	Current	58	Female	NA	2023	2026	2y, 6m	NA	NA	Ms. Barbara B. Hulit serves as Independ PACCAR Inc since April 25, 2023. She se Novanta Corporation since July 26, 202 President & CEO of Advanced Healthca Fortive Corporation since...View All
Brice A. Hill	Board Director/Trustee	Yes	Current	58	Male	NA	2024	2026	1y, 3m	NA	NA	Mr. Brice A. Hill is Independent Director since July 01, 2024. He serves as Senior and Chief Financial Officer of Applied M since March 2022 and Leads the Global Services since September 2023....View
Cynthia A. "Cindy" Niekamp	Board Director/Trustee	Yes	Current	65	Female	NA	2023	2026	2y, 6m	NA	NA	Ms. Cynthia A. Niekamp, also known as serves as an Independent Director at PA April 25, 2023. She has been an Indepe Ball Corporation since August 04, 2016. Ball Corporation on August 04,...View Al
Ganesh Ramaswamy	Board Director/Trustee	Yes	Current	56	Male	NA	2021	2026	4y, 6m	NA	NA	Mr. Ganesh Ramaswamy serves as Exec President of Industrial & Energy Techno Hughes Holdings LLC since January 16, as Executive Vice President of Industria Technology at Baker Hughes Company All
John M. Pigott	Board Director/Trustee	No	Current	61	Male	NA	2009	2026	16y, 6m	NA	NA	Mr. John M. Pigott is a Partner of Beta B LLC. Mr. Pigott was a Partner of Beta Ca since 2003. Mr. Pigott served in various positions within PACCAR from 1992 to 2 experience in manufacturing and...View
Kirk S. Hachigian	Board Director/Trustee	Yes	Current	65	Male	NA	2008	2026	16y, 10m	NA	NA	Mr. Kirk S. Hachigian serves as Director Technologies Inc. since December 11, 2 Executive Chairman of JELD-WEN, Inc. 2015 and served as its Acting Chief Exe February 27, 2018 to June 18,...View All
Luiz Antonio dos Santos Pret	Board Director/Trustee	Yes	Current	NA	Male	NA	2024	2026	1y, 1m	NA	NA	Mr. Luiz Antonio dos Santos Pretti is Inc of PACCAR Inc from September 1, 2024. dos Santos Pretti has been Chairman o Votorantim Cimentos S.A. since 2018. M president and chief...View All
Pierre R. Breber	Board Director/Trustee	Yes	Current	61	Male	NA	2024	2026	1y, 3m	NA	NA	Mr. Pierre R. Breber serves as Independ Clorox Company from November 20, 202 Independent Director of Southwest Airl November 1, 2024. Mr. Breber serves as Director of PACCAR Inc since July...View
R. Preston Feight	Board Director/Trustee	No	Current	57	Male	NA	2019	2026	6y, 3m	NA	r.feight@paccar.com	Mr. R. Preston Feight has been the Chief and Director of PACCAR Inc. since July 1 as its Executive Vice President since Se until June 2019. He serves as Director a since November 1, 2024. He...View All
Average				**64**					**8y, 11m**			

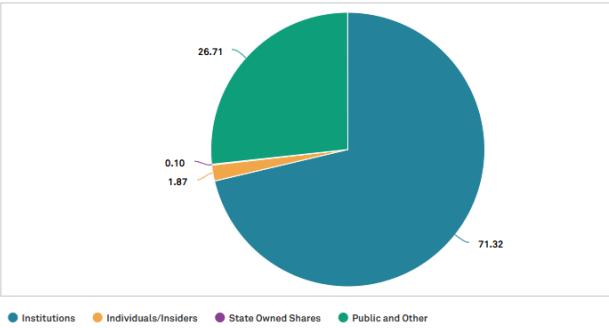
- On December 10, 2024, the Board of Directors elected Craig R. Gryniewicz, 57, to succeed Mr. Hubbard as Vice President of Global Financial Services. Mr. Gryniewicz served as President of PACCAR Financial Corp. since December 4, 2018 and prior to that was Assistant General Manager - Sales and Marketing for PACCAR Financial Corp.

Ownership

Ownership Summary

Type	Common Stock Equivalent Held	Percent of Common Shares Outstanding (%)	Market Value ($M)
Institutions	374,581,165	71.32	37,383.2
Individuals/Insiders	9,796,641	1.87	977.7
State Owned Shares	532,594	0.10	53.2
Public and Other	140,289,600	26.71	14,000.9
Total	**525,200,000**	**100.00**	**52,415.0**

Summary: Percent of Common Shares Outstanding (%)



Float Summary

PACCAR Inc	
Standardized Data	
Oct-22-2025	
Company Employees/ Individual Insiders	9,796,641
+ State Owned Shares	532,594
= Total Shares Excluded From Float	10,329,235
Free Float Shares	514,870,765
/ Shares outstanding	525,200,000
= Float%	98

- Insider selling over the past 12 months has been $29.10. The 2 largest institutional shareholders are Vanguard (11.92%) and Blackrock (6.71%).

Activist Investor Ownership

Chart Data

Activist	Shares Held	Percent of Common Shares Outstanding (%)	Market Value Owned ($M)	Position Date
D.E. Shaw & Co. LP	1,295,568	0.25	129.3	06/30/2025
Royal London Asset Management Ltd.	950,816	0.18	94.9	06/30/2025
GAMCO Investors Inc.	386,624	0.07	38.6	06/30/2025
Ancora Advisors LLC	105,201	0.02	10.5	06/30/2025
Sterling Capital Management LLC	1,705	0.00	0.2	06/30/2025
Total	**2,739,914**	**0.52**	**273.4**	

Recent Activist Shareholder Proposals:

- On March 19, 2025, John Chevedden submitted a shareholder proposal to PACCAR Inc requesting that the Board seek shareholder approval of any senior manager's new or renewed pay package that provides for severance or termination payments with an estimated value exceeding 2.99 times the sum of the executive's base salary plus target short-term bonus. This proposal only applies to the Named Executive Officers. This provision shall at least be included in the Governess Guidelines of the Company or similar document and be readily accessible on the Company website.

- On March 20, 2024, PACCAR Inc announced that it has received a shareholder proposal from Calvert Research and Management and the Comptroller of the City of New York, as co-sponsors, request that the Board of Directors annually conduct an evaluation and issue a report (at reasonable cost, omitting confidential or proprietary information) describing if, and how, the Company lobbying and policy influence activities (both direct and indirect through trade associations, coalitions, alliances, and other organizations) align with the goal of the Paris Agreement to limit average global warming to "well below" 2°C above pre-industrial levels, and to pursue efforts to limit temperature increase to 1.5°C, and how the Company plans to mitigate the risks presented by any misalignment. In evaluating the degree of alignment, the Company should consider not only its policy positions and those of organizations of which the Company is a member, but also the actual lobbying and policy influence activities. In addition, the company urged the shareholders to vote against the shareholder proposal at its annual general meeting scheduled to be held on April 30, 2024.

Thanks,

Michelle Mongiello, MBA, CPCU
Senior Underwriter
Financial Lines

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